10. **Duty to preserve Working Papers:**
It is the duty of an auditor to preserve and produce all books and papers relating to the company which are in his custody and to assist the inspector appointed by the government for investigation.

9.7.2 Duties under Common Law

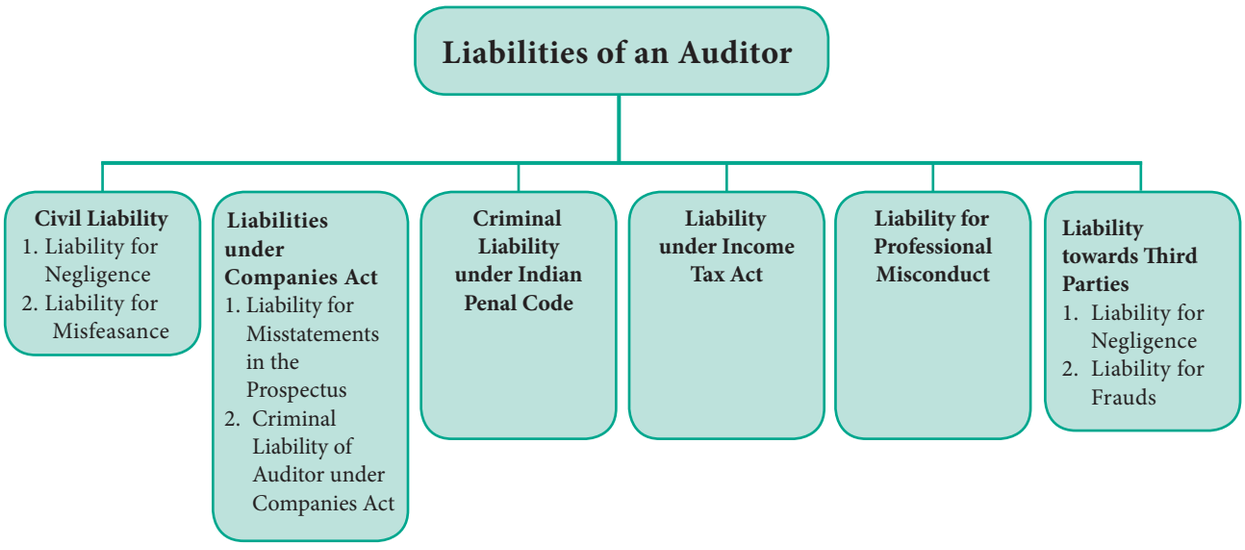
1. **Duty to be honest and exercise proper care:**
The auditor should be straightforward, honest and tactful and must not be influenced by others in discharge of his duties. He should be careful and cautious in performing his duties.
2. **Duty to obtain knowledge about the company:**
He should obtain detailed knowledge about the activities and affairs of the company.
3. **Duty to perform additional work:**
The auditor besides performing the statutory duties is bound to perform additional work by passing a resolution in the general meeting or making a provision in the Articles of Association of the company.
4. **Duty to verify assets held by the company:**
It is the duty of the auditor to verify assets of the company.

9.7.3 Other Duties

1. **Contractual Duties:**
The auditor's duty will depend upon the terms and conditions of his appointment between him and the party who appointed him.
2. **Professional Duties:**
The auditor has to observe the ethics given by the Institute of Chartered Accountants of India. He should correspond with the previous auditor before accepting the assignment.

9.8 Liabilities of an Auditor:

A Chartered Accountant is associated with the valuable profession. His primary duty is to present a report on the accounts and statements submitted by him to members of the company. He is responsible not only to the members of the company but also to the third parties of the company, i.e., creditors, bankers etc.



Chapter_09.indd 136 12/23/2019 3:17:40 PM